GMS WEEKLY

Your Source for Recycling News

June 2nd, 2023
Volume 250, Issue 1085
Week 22

Highlights:

- **Budget passes.**
- **Expect activity.**
- **Rupee moves.**
- **Capacity good.**
- **Pakistan out.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"You do not find the happy life. You make it."

– Camilla Eyring Kimball

MARKET COMMENTARY

NO SURPRISES!

As the Bangladeshi budget of June 1st starts to be digested in full, it has been an altogether quieter week in Chattogram as local banks and Recyclers evaluate the outcome to ensure no unexpected surprises emerge, before committing afresh on tonnage – and thus far, none seem to be reported.

As such, it should be a busier time for sales and activity from next week once business resumes, although we are now entering the traditionally quieter monsoon and summer months when much of the labor starts to return to their hometowns due to the persistent rains, rendering yards far too difficult for cutting/recycling activities.

Meanwhile, India has also seen some positivity return as the Indian Rupee gained some good ground to fall below the Rs. 83 level against the U.S. Dollar, where it had been recently trading.

The supply of tonnage also remains surprisingly scarce, so any vessels that do come to market are perhaps seeing levels above the reality on the ground, as Cash Buyers look to secure first and work end Buyers' thereafter, hoping to create some competition and obtain firmer levels.

Pakistan remains completely out of the picture for yet another week, with political and economic uncertainty continuing to beset the country and little hope of ship recycling activity resuming any time soon.

Furthermore, despite a busy few tides gone by in Bangladesh and end Buyers starting to get around their L/C hurdles with the Central State Government bank, plot capacity remains healthy in both Bangladesh and India, so there is certainly potential to absorb more incoming tonnage.

Finally, Turkey sails through another week of opposing fundamentals, as President Erdogan cinches a narrow win and secure his position, with his primary aims reportedly being that of battling the rampant domestic inflation.

For week 22 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	585 / LDT	615 / LD	635 / LDT
2	India	Stable	530 / LDT	550 / LDT	570 / LDT
3	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
4	Turkey	Steady	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

AS YOU WERE!

Budget news.

The announcement of the annual Bangladeshi budget has brought few surprises with it that would affect the domestic ship recycling sector, and buying activity is expected (hoped) to resume in the coming weeks, at the previously energetic levels witnessed through early May.

After several busy weeks and tides of activity, many local Buyers and banks had paused, to ensure that the budget wouldn't bring any surprises with it, especially in the form of new taxes / duties being levied on the domestic ship recycling sector.

Bulker sale.

Of course, the fine print remains to be studied and we may have some further clarity next week, however, for the moment it appears to be 'as you were.'

A couple of sales did register for the week as the ZE RUI 1 (7,735 NET LDT) was committed on an 'as is' China basis with 150 Tons of fuel included in the sale, at a healthy USD 531/LT NET LDT. Additionally, a Vietnamese controlled bulker GOLDEN SUN (6,179 LDT) also managed to fetch a decent USD 581/LT LDT for its Owners.

On the local fundamentals front, local steel plate prices flatlined once again for the week, while the Bangladeshi Taka volleys between the TRY 107.3 – 107.5 mark against the U.S. Dollar.

Finally, the pre-budget slowdown can also be witnessed at the waterfront, where only one new vessel reportedly arrived local anchorage this week.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
GOLDEN SUN	Bulker	6,179	USD 581/LT LDT
ZE RUI 1	Bulker	7,735	USD 531/LT LDT ('as is' China with 150 Tons of Bunkers ROB)

INDIA

GAINING GROUND!

This week, some positive moves on the Indian Rupee finally brought some confidence back into a previously lacklustre and stagnant Alang, and one or two fresh sales have reportedly been discussed with End Buyers (primarily for HKC only recycling at Alang).

Currency gains.

As stated, having previously breached Rs. 83, the Indian Rupee gained some good ground to fall back into the low Rs. 82.3X range against the U.S. Dollar. Local steel plate prices also registered marginal improvements (about USD 4/Ton) this week, only to keep local sentiments healthy.

Tonnage slow.

Alang anchorage has had a minimal number of units that have arrived and are awaiting beaching this week, as India continues to lose out on tonnage to a firmer Bangladeshi market, especially on 'as is' deals that are opening up in the Far East.

The ongoing slowdown in supply is also keeping Alang Buyers cautioned, especially as we head into the quieter monsoon months in addition to many owners still keeping their vessels trading at these reduced charter levels of today (most containers are now finding trading buyers again).

Even Bangladesh is starting to snap up HKC tonnage, to the three NK class yards now in service and as a result, no new market sales were reported into Alang for the week.

NO MARKET SALES REPORTED

PAKISTAN

ENVIOUS GLANCES!

Out of picture.

Pakistan is out of the picture once again and for yet another week, as local Buyers can only look on enviously towards the positivity and (even the few odd) sales being reported from their competing Bangladeshi and Indian counterparts.

Perhaps competitor is the wrong use of the term in this scenario, as Pakistan is unable to compete at all on ships for recycling with its sub-continent neighbors and there have been no meaningful sales into this market for quite some time as the local port report lies empty.

Barren summer.

In fact, even last week's small arrival (undertow) ended up sinking at anchorage due to reported flooding in the engine room and as such, local yards have been completely deprived of tonnage for at least two months now.

On the local fundamentals front, the Pakistani Rupee is still hemorrhaging at PKR 285.2X against the U.S. Dollar, while local steel plate prices appear to have entered a self-induced coma, having reportedly flatlined for several weeks.

Finally, the economic and political chaos that has engulfed the country this year shows few signs of abating, so for ship recycling, it will almost certainly be a barren summer (and likely beyond) in Gadani.

NO MARKET SALES REPORTED

TURKEY

ERDOGAN WINS!

As President Erdogan finally cinched his victory this week, domestic inflation continues to run amok, and the Lira continues to degrade against the U.S. Dollar without pause or mercy.

TRY 21?

While last week, we questioned whether the Lira would finally breach Try 20.0 against the U.S. Dollar, regrettably this week, the Lira has fallen far quicker and is even likely to breach TRY 21 within next week.

As of close of Friday, the Lira ended at TRY 20.92.

Quiet Waters.

Meanwhile, steel fundamentals (import and local) have remained unchanged, as President Erdogan's priority remains tackling the rampant inflation, thereby firming Turkey's domestic economy.

No news of sales or even any market units being proposed. As such, Turkey continues to sail through quiet waters.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Our galaxy is almost as old as the Universe. The age of the Universe is about 13.7 billion years old, and our galaxy is 13.6 billion years old.*
- *About 24 thousand people are killed by lightning strikes each year, and about 240 thousand more are injured.*
- *A lightning bolt is 54 thousand degrees Fahrenheit. That's hotter than the surface of the sun!*
- *If a tree is struck by lightning, it can explode because when struck, the liquids inside of the tree instantly turn to gas and expand.*
- *If lightning hits sand or rocks, it can be petrified and will create lightning fossils.*
- *The odds of being struck by lightning are 1 in 12 thousand.*
- *If you drilled a tunnel straight through the Earth, it would take 42 seconds to for an average person to fall to the other side.*
- *The legal owner of one-sixth of the Earth is the Queen of the United Kingdom.*
- *There are more living things in a teaspoon of soil than there are people on Earth.*
- *There weren't always a lot of trees on the Earth. The Earth used to be covered in giant mushrooms.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	June 02 – June 10 June 14 – June 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	June 04 – June 07 June 17 – June 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 22 – June 24 – Dragon Boat Festival	June 29 – July 01 – Eid Ul Azha	June 27 – July 01 – Kurban Bayrami

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ALANG - Port Position as of June 02, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Enam	6,819	Container	Arrived May 25
2	Kumul Arrow	10,998	General Cargo	Arrived May 29
3	MSC Lucia	8,911	Container	Arrived May 26
4	Neru	1,885	Reefer	Arrived May 20
5	Novo 23	1,885	Fish Factory	Arrived May 25
6	*Pit (Under Tow)*	*6,819*	*Jack-up*	*Beached May 24*
7	Scanly - 1 (Under Tow)	1,571	Dumb Barge	Arrived May 27
Total Tonnage		**38,888**		

CHATTOGRAM - Port Position as of June 02, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bodr	926	General Cargo	Arrived May 31
2	Kai Hang 3	3,906	Container	Arrived May 23
3	Ocean Great	7,290	Bulk / Log Carrier	Arrived May 26
4	Shang Hang 68	6,719	General Cargo	Arrived May 19
5	*Tubtim*	*702*	*Tanker*	*Beached May 29*
6	Vasi Star	7,771	Container	Arrived May 17
7	*Western Endeavour*	*1,489*	*Bulk Carrier*	*Beached May 30*
8	Winwin	2,076	Reefer	Arrived May 24
9	Xaing Jiang 6	7,290	Bulk Carrier	Arrived May 24
Total Tonnage		**38,168**		

GADANI - Port Position as of June 02, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Era (Under Tow)**	**2,200**	**Supply Vessel**	**Sank at Anchorage**
Total Tonnage		**2,200**		

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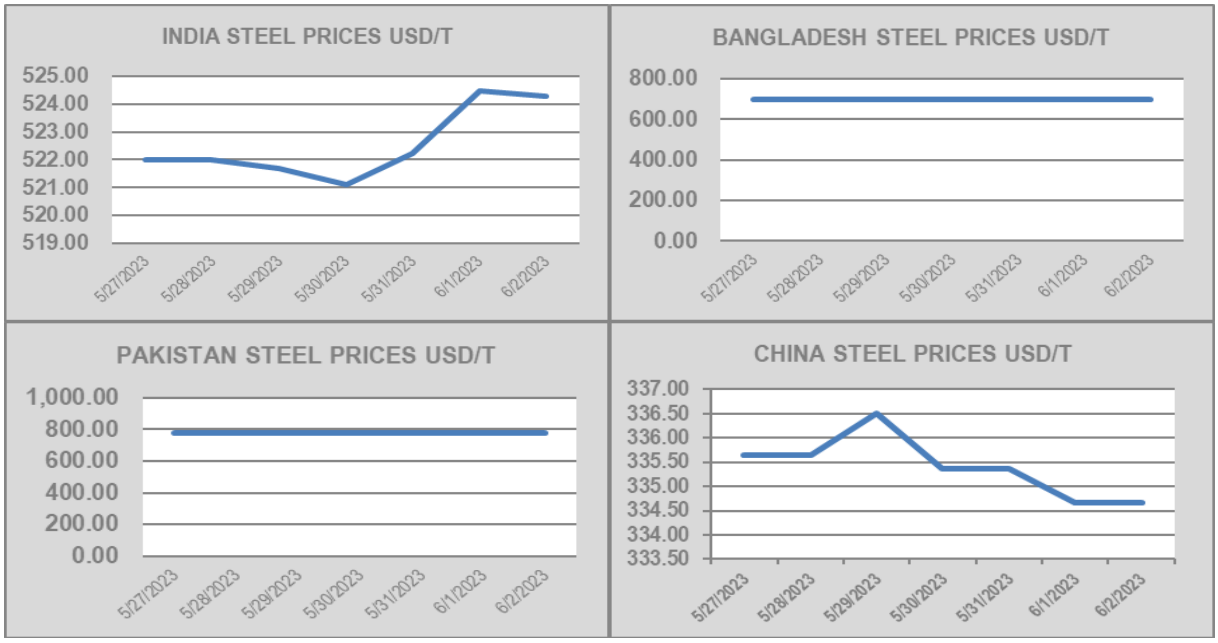
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/27/2023	521.98	43,100.00	777.39	220,000.00	695.24	73,000.00	335.64
5/28/2023	521.98	43,100.00	777.39	220,000.00	695.24	73,000.00	335.64
5/29/2023	521.67	43,100.00	777.39	220,000.00	695.24	73,000.00	336.52
5/30/2023	521.10	43,100.00	777.39	220,000.00	695.24	73,000.00	335.37
5/31/2023	522.24	43,200.00	777.39	220,000.00	695.24	73,000.00	335.37
6/1/2023	524.46	43,200.00	777.39	220,000.00	695.24	73,000.00	334.67
6/2/2023	524.27	43,200.00	777.39	220,000.00	695.24	73,000.00	334.67



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